INTERNATIONAL MONETARY FUND

CABO VERDE

REQUEST FOR DISBURSEMENT UNDER THE RAPID CREDIT FACILITY—DEBT SUSTAINABILITY ANALYSIS

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Approved By
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Prepared by the staffs of the International Monetary Fund (IMF) and the International Development Association (IDA)

Cabo Verde
Joint Bank-Fund Debt Sustainability Analysis[1]

Risk of external debt distress	High[2]
Overall risk of debt distress	High
Granularity in the risk rating	Sustainable
Application of judgment	No
Macroeconomic projections	Growth is projected to contract in 2020 with the sharp contraction in the tourism and transport sectors, directly affected by the external shocks, and the decline in activity across all sectors reflecting spillovers from the tourism and transport sectors and the impact of mitigating measures. The external and fiscal positions are projected to deteriorate significantly.
Financing strategy	Additional financing needs for 2020 will be filled by grants, Rapid Credit Facility resources and other concessional loans.
Realism tools flagged	None
Mechanical risk rating under the external DSA	High
Mechanical risk rating under the public DSA	High

Cabo Verde's risk of external and overall debt distress is rated "high" as in the previous DSA (July 2019) with risks tilted to the downside. However, public and publicly guaranteed (PPG) debt is assessed to be sustainable, conditional on the implementation of prudent fiscal policies following the COVID-19 crisis and in view of manageable debt service ratios.

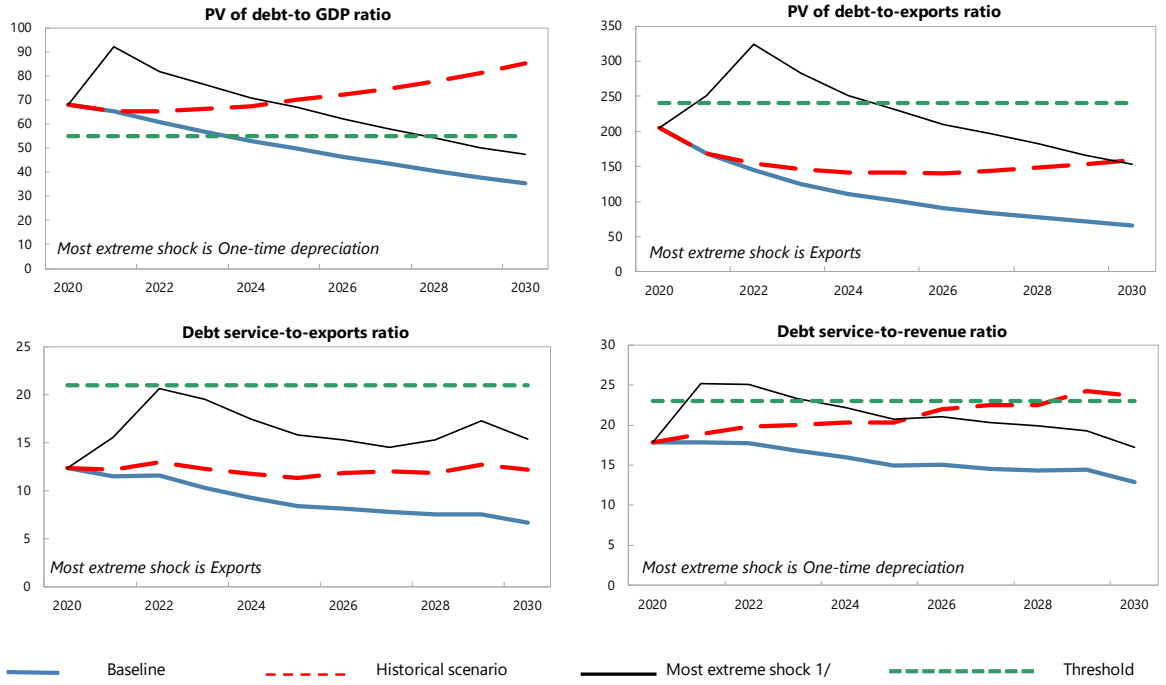
[1] Debt coverage is the same as in the last DSA.

[2] The Composite Indicator score is 3.283, with a classification of strong debt-carrying capacity.

The shocks from the COVID-19 pandemic will heavily impact tourism, the most important sector of Cabo Verde's economy, and are expected to deepen current account and fiscal deficits, resulting in a higher debt path compared to the previous DSA. The baseline scenario assumes that concessional loans from multilateral institutions and grants will help cover the health costs and financing needs triggered by the global health crisis. However, debt sustainability is subject to considerable downside risks, including from a more severe or prolonged impact of the COVID-19 shock.

Both the present value (PV) of PPG external debt-to-GDP ratio and of total public debt-to-GDP ratio breach their respective thresholds over the medium term under the baseline scenario, signaling a high risk of external and overall debt distress. In addition, they are particularly sensitive to export, depreciation, and contingent liabilities shocks. However, they are both projected to gradually decline as the forecast horizon advances, falling below their thresholds from 2024 and 2028 onwards, respectively. Similarly, the PV of PPG external debt-to-exports ratio exhibits a continuous downward trend over the projection period. In addition, debt service indicators are forecast to remain below their respective thresholds. Based on PPG external and overall debt dynamics, PPG debt is deemed sustainable.

Figure 1. Cabo Verde: Indicators of Public and Publicly Guaranteed External Debt Under Alternatives Scenarios, 2020–30



Customization of Default Settings	Size	Interactions
Standardized Tests		Yes
Tailored Tests		
Combined CLs	Yes	
Natural Disasters	n.a.	n.a.
Commodity Prices 2/	n.a.	n.a.
Market Financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

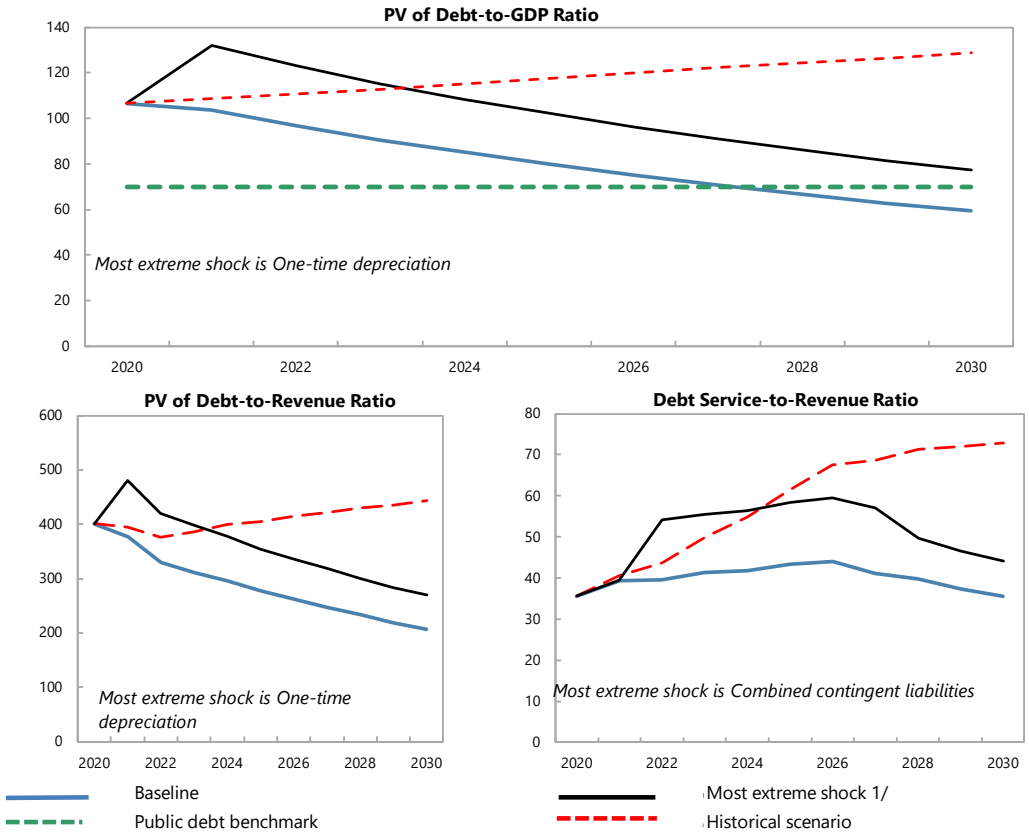
Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.8%	1.8%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	22	22
Avg. grace period	6	6

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio in or before 2030. Stress tests with one-off breaches are also presented (if any), while these one-off breaches are deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ The magnitude of shocks used for the commodity price shock stress test are based on the commodity prices outlook prepared by the IMF research department.

Figure 2. Cabo Verde: Indicators of Public Debt Under Alternative Scenarios, 2020–30



Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	36%	36%
Domestic medium and long-term	62%	62%
Domestic short-term	1%	1%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.8%	1.8%
Avg. maturity (incl. grace period)	22	22
Avg. grace period	6	6
Domestic MLT debt		
Avg. real interest rate on new borrowing	3.2%	3.2%
Avg. maturity (incl. grace period)	6	6
Avg. grace period	0	0
Domestic short-term debt		
Avg. real interest rate	0%	0.0%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

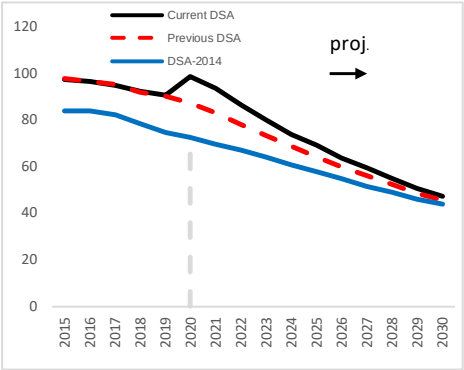
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2030. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

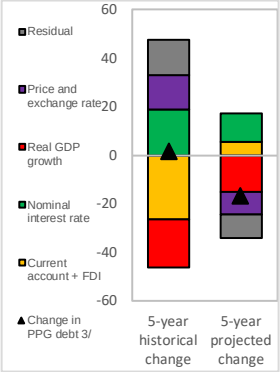
Figure 3. Cabo Verde: Drivers of Debt Dynamics - Baseline Scenario

External debt

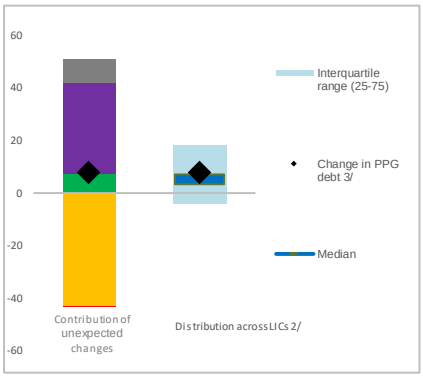
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

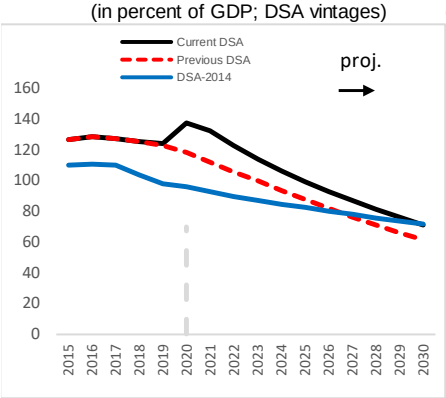


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

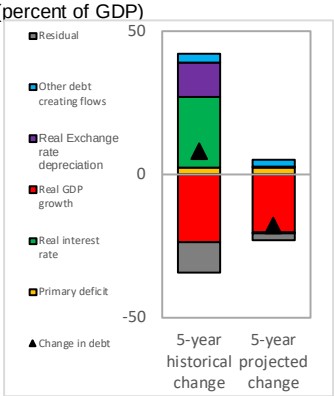


Public debt

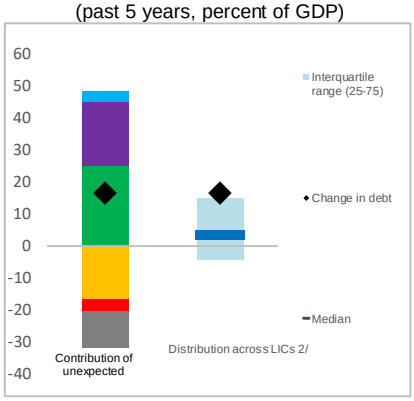
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



Sources: Country authorities; and staff estimates and projections.

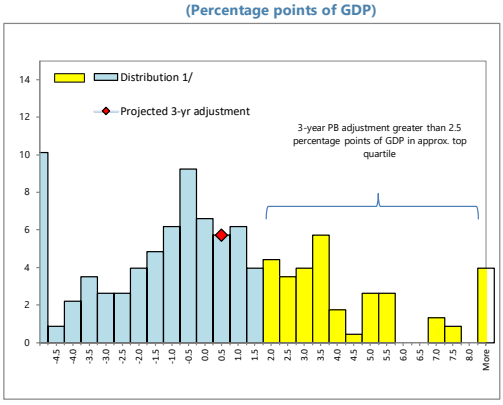
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

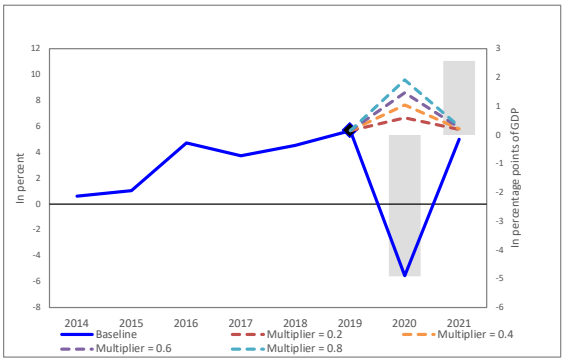
Figure 4. Cabo Verde: Realism tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



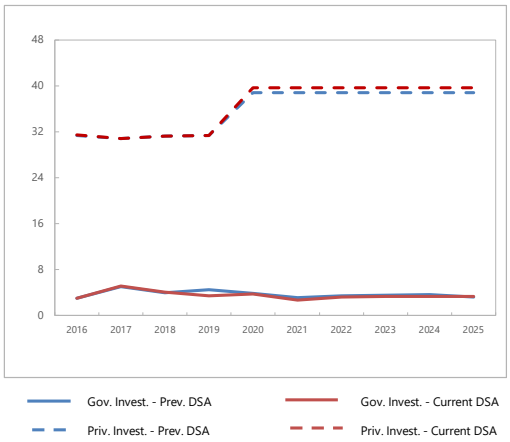
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/

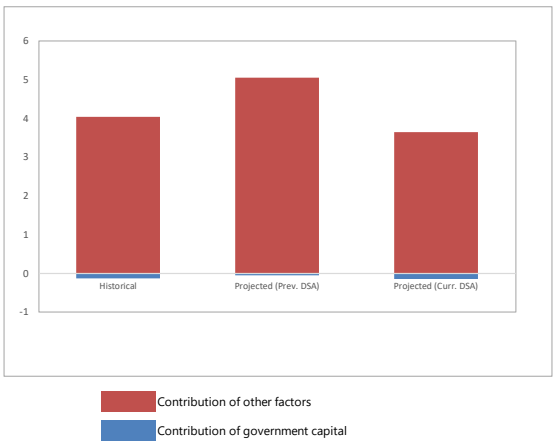


1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(% of GDP)



Contribution to Real GDP growth
(percent, 5-year average)



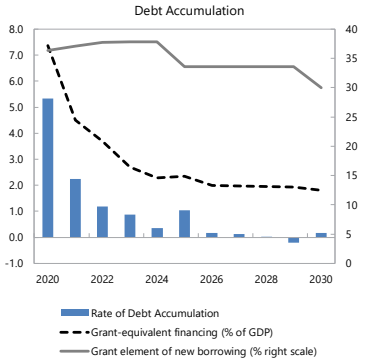
Sources: Country authorities; and staff estimates and projections.

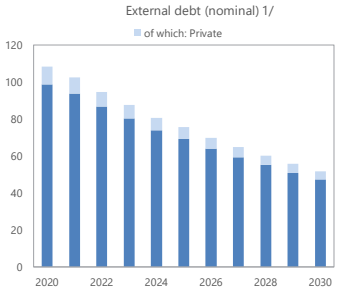
Table 1. Cabo Verde: External Debt Sustainability Framework, Baseline Scenario, 2017–40

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2030	2040	Historical	Projections
External debt (nominal) 1/	107.7	102.8	99.9	108.2	102.4	94.5	87.5	80.6	75.4	51.7	23.7	93.3	77.3
of which: public and publicly guaranteed (PPG)	95.0	92.3	90.6	98.6	93.5	86.5	80.1	73.8	69.2	47.3	23.7	81.5	70.7
Change in external debt	2.2	-4.9	-2.9	8.4	-5.9	-7.8	-7.0	-6.9	-5.2	-3.9	-4.9		
Identified net debt-creating flows	-3.9	-9.5	-4.6	19.5	1.0	-5.2	-6.4	-6.4	-6.9	-7.7	-11.8	1.0	-3.7
Non-interest current account deficit	3.2	1.1	-2.0	11.6	6.1	2.4	0.4	-0.5	-1.5	-3.6	-8.6	3.7	0.5
Deficit in balance of goods and services	21.5	19.2	14.5	25.3	18.6	14.5	11.6	9.4	7.9	4.2	-0.8	20.4	10.3
Exports	45.4	49.2	50.9	33.2	38.7	42.1	45.4	47.9	49.6	53.6	61.4		
Imports	66.9	68.4	65.4	58.5	57.3	56.6	57.0	57.3	57.5	57.8	60.7		
Net current transfers (negative = inflow)	-17.0	-16.2	-16.4	-14.3	-12.9	-12.4	-11.3	-10.9	-10.6	-9.0	-8.6	-16.5	-10.8
of which: official	-3.4	-2.8	-3.0	-4.4	-3.2	-2.9	-2.0	-1.8	-1.6	-0.7	-0.4		
Other current account flows (negative = net inflow)	-1.3	-1.8	-0.1	0.6	0.4	0.3	0.1	1.0	1.2	1.2	0.7	-0.3	0.9
Net FDI (negative = inflow)	-5.5	-4.1	-4.0	-0.7	-2.5	-3.9	-3.8	-3.5	-3.3	-3.3	-3.2	-5.4	-3.1
Endogenous debt dynamics 2/	-1.6	-6.6	1.5	8.6	-2.6	-3.7	-3.0	-2.4	-2.1	-0.8	0.0		
Contribution from nominal interest rate	4.7	4.2	2.3	2.7	2.4	2.3	2.2	2.1	2.0	1.7	1.3		
Contribution from real GDP growth	-3.7	-4.4	-5.8	5.9	-5.0	-6.0	-5.2	-4.6	-4.1	-2.6	-1.3		
Contribution from price and exchange rate changes	-2.7	-6.4	5.0	...	...	...	...	...	...	...	...		
Residual 3/	6.1	4.6	1.7	-11.1	-6.9	-2.6	-0.6	-0.5	1.7	3.8	7.0	3.5	-0.7
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	...	...	58.7	68.0	65.3	60.8	56.8	52.8	50.0	35.4	17.9		
PV of PPG external debt-to-exports ratio	...	...	115.3	205.1	168.5	144.4	125.0	110.2	100.7	66.0	29.2		
PPG debt service-to-exports ratio	9.9	8.9	7.5	12.4	11.5	11.6	10.3	9.2	8.3	6.6	3.8		
PPG debt service-to-revenue ratio	18.1	16.3	14.6	17.8	17.8	17.7	16.8	15.9	14.9	12.9	8.8		
Gross external financing need (Million of U.S. dollars)	68.3	55.1	-19.4	307.5	191.1	104.0	62.8	44.1	15.7	-87.3	-683.9		
Key macroeconomic assumptions													
Real GDP growth (in percent)	3.7	4.5	5.7	-5.5	5.0	6.4	6.0	5.7	5.5	5.0	5.0	2.8	4.4
GDP deflator in US dollar terms (change in percent)	2.6	6.3	-4.6	-0.4	2.5	2.7	2.4	2.5	2.0	2.1	2.6	-0.9	2.0
Effective interest rate (percent) 4/	4.8	4.4	2.2	2.5	2.4	2.5	2.6	2.6	2.7	3.3	5.0	4.8	2.8
Growth of exports of G&S (US dollar terms, in percent)	11.6	20.4	4.2	-38.6	25.7	18.8	17.2	14.1	11.6	8.4	9.2	6.9	8.5
Growth of imports of G&S (US dollar terms, in percent)	19.0	13.5	-3.7	-15.8	5.6	7.9	9.3	8.9	8.0	7.3	8.2	3.0	5.5
Grant element of new public sector borrowing (in percent)	...	...	...	36.4	37.1	37.7	37.8	37.8	33.6	30.0	30.0	...	35.0
Government revenues (excluding grants, in percent of GDP)	24.9	27.0	26.2	23.0	25.0	27.5	28.0	27.7	27.8	27.7	26.5	23.5	27.0
Aid flows (in Million of US dollars) 5/	169.0	94.0	170.8	228.9	157.9	146.0	128.5	113.8	127.7	125.6	235.7		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	7.4	4.5	3.7	2.7	2.3	2.3	1.8	1.7	...	3.0
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	52.5	57.2	55.4	50.1	51.8	46.8	48.6	50.0	...	51.3
Nominal GDP (Million of US dollars)	1,770	1,967	1,982	1,864	2,008	2,194	2,382	2,581	2,778	3,942	7,930		
Nominal dollar GDP growth	6.4	11.1	0.8	-5.9	7.7	9.3	8.6	8.3	7.6	7.1	7.7	1.9	6.5
Memorandum items:													
PV of external debt 7/	...	...	68.0	77.6	74.2	68.9	64.2	59.5	56.1	39.8	17.9		
In percent of exports	...	...	133.6	234.0	191.5	163.6	141.2	124.3	113.2	74.3	29.2		
Total external debt service-to-exports ratio	13.6	11.6	10.0	16.9	15.2	14.8	13.2	11.9	10.8	8.7	5.3		
PV of PPG external debt (in Million of US dollars)			1162.5	1268.3	1309.9	1333.6	1352.8	1361.4	1388.3	1395.6	1419.8		
PVt-PVt-1)/GDPt-1 (in percent)				5.3	2.2	1.2	0.9	0.4	1.0	0.2	-0.6		
Non-interest current account deficit that stabilizes debt ratio	1.1	6.0	0.9	3.3	12.0	10.2	7.4	6.5	3.6	0.3	-3.8		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.
2/ Derived as [r - g - ρ(1+g) + εα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, ε=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.
3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.
4/ Current-year interest payments divided by previous period debt stock.
5/ Defined as grants, concessional loans, and debt relief.
6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).
7/ Assumes that PV of private sector debt is equivalent to its face value.
8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

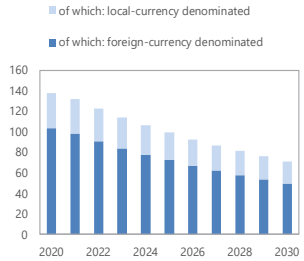
Table 2. Cabo Verde: Public Sector Debt Sustainability Framework, Baseline Scenario, 2017–40

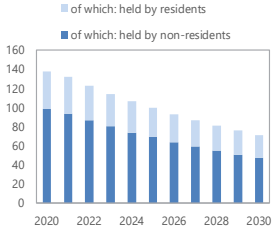
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2030	2040	Historical	Projections
Public sector debt 1/	**127.2**	**125.6**	**124.2**	**137.4**	**132.0**	**122.5**	**114.0**	**106.3**	**99.4**	**71.2**	**41.0**	**109.2**	**101.7**
of which: external debt	**95.0**	**92.3**	**90.6**	**98.6**	**93.5**	**86.5**	**80.1**	**73.8**	**69.2**	**47.3**	**23.7**	**81.5**	**70.7**
Change in public sector debt	-1.1	-1.6	-1.4	13.3	-5.5	-9.5	-8.5	-7.7	-6.9	-4.7	-2.5		
Identified debt-creating flows	**-8.8**	**5.2**	**-0.3**	**16.4**	**-5.6**	**-9.6**	**-8.6**	**-7.8**	**-7.0**	**-4.6**	**-1.3**	**9.4**	**-4.5**
Primary deficit	**0.4**	**0.3**	**-0.7**	**4.2**	**1.6**	**-1.0**	**-1.2**	**-1.2**	**-1.3**	**-1.2**	**0.7**	**3.8**	**-0.5**
Revenue and grants	28.6	28.4	29.4	26.6	27.5	29.4	29.0	28.7	28.8	28.7	27.5	**26.6**	**28.5**
of which: grants	3.7	1.4	3.2	3.5	2.5	1.9	1.1	1.0	1.0	1.0	1.0		
Primary (noninterest) expenditure	29.0	28.6	28.7	30.8	29.1	28.4	27.8	27.4	27.4	27.5	28.3	**30.4**	**27.9**
Automatic debt dynamics	**-9.1**	**5.0**	**-2.8**	**9.7**	**-7.3**	**-8.6**	**-7.5**	**-6.6**	**-5.6**	**-3.4**	**-1.9**		
Contribution from interest rate/growth differential	1.6	0.3	-6.0	8.0	-6.7	-8.1	-7.1	-6.2	-5.6	-3.4	-1.8		
of which: contribution from average real interest rate	6.2	5.8	0.8	0.7	-0.1	-0.1	-0.1	-0.1	-0.1	0.2	0.3		
of which: contribution from real GDP growth	-4.6	-5.5	-6.7	7.3	-6.6	-8.0	-6.9	-6.1	-5.5	-3.6	-2.1		
Contribution from real exchange rate depreciation	-10.8	4.7	3.1	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**3.3**	**2.5**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.1**	**1.1**	**0.2**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	-0.1		
Other debt creating or reducing flow (please specify)	0.0	0.0	3.3	2.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**7.6**	**-6.9**	**-1.1**	**-1.4**	**-0.4**	**-0.4**	**-0.3**	**-0.3**	**0.1**	**-0.1**	**-1.3**	**-3.2**	**-0.3**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**92.3**	**106.6**	**103.5**	**96.7**	**90.5**	**85.0**	**80.0**	**59.3**	**35.1**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**313.8**	**401.0**	**376.1**	**329.1**	**311.8**	**296.6**	**277.8**	**206.7**	**127.7**		
Debt service-to-revenue and grants ratio 3/	**48.7**	**53.5**	**29.7**	**35.6**	**39.4**	**39.7**	**41.4**	**41.8**	**43.4**	**35.5**	**24.9**		
Gross financing need 4/	6.4	7.0	8.0	16.2	12.5	10.6	10.8	10.8	11.1	9.0	7.5		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	3.7	4.5	5.7	-5.5	5.0	6.4	6.0	5.7	5.5	5.0	5.0	**2.8**	**4.4**
Average nominal interest rate on external debt (in percent)	3.6	3.2	1.1	1.2	1.1	1.1	1.1	1.1	1.1	1.4	1.8	**3.1**	**1.2**
Average real interest rate on domestic debt (in percent)	15.2	16.6	4.2	3.3	2.2	2.0	2.0	2.1	2.0	2.5	2.3	**15.3**	**2.3**
Real exchange rate depreciation (in percent, + indicates depreciation)	-11.4	5.1	3.6	...	...	...	...	...	...	...	...	**3.5**	**...**
Inflation rate (GDP deflator, in percent)	0.7	1.5	0.6	1.7	1.7	2.0	1.9	1.9	2.0	2.1	2.6	**0.9**	**2.0**
Growth of real primary spending (deflated by GDP deflator, in percent)	10.8	3.3	5.9	1.4	-0.6	3.5	4.0	4.1	5.5	5.9	5.0	**2.0**	**4.0**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	1.5	1.9	0.7	-9.1	7.1	8.5	7.3	6.5	5.5	3.5	3.2	**1.4**	**4.3**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government plus extra budgetary funds, central bank, government-guaranteed debt. Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Cabo Verde: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2020–30

(Percent)

	Projections										
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
PV of debt-to GDP ratio											
Baseline	**68**	**65**	**61**	**57**	53	50	47	44	41	38	35
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 1/	**68**	**65**	**65**	**66**	**67**	**70**	**72**	**74**	**78**	**81**	**85**
B. Bound Tests											
B1. Real GDP growth	**68**	**68**	**67**	**62**	**58**	55	51	48	45	42	39
B2. Primary balance	**68**	**67**	**65**	**61**	**57**	55	51	49	46	43	41
B3. Exports	**68**	**72**	**79**	**75**	**70**	**67**	**63**	**59**	**56**	51	48
B4. Other flows 2/	**68**	**68**	**65**	**61**	**57**	54	51	47	44	41	38
B6. One-time 30 percent nominal depreciation	**68**	**92**	**82**	**76**	**71**	**67**	**62**	**58**	54	50	47
B6. Combination of B1-B5	**68**	**74**	**74**	**69**	**65**	**61**	**57**	54	50	47	43
C. Tailored Tests											
C1. Combined contingent liabilities	**68**	**73**	**69**	**65**	**62**	**60**	**57**	55	52	49	47
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	55	55	55	55	55	55	55	55	55	55	55
PV of debt-to-exports ratio											
Baseline	205	168	144	125	110	101	91	84	78	71	66
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 1/	205	169	155	146	141	141	140	144	148	153	159
B. Bound Tests											
B1. Real GDP growth	205	168	144	125	110	101	91	84	78	71	66
B2. Primary balance	205	172	153	134	119	110	100	94	88	81	76
B3. Exports	205	**251**	**325**	**283**	**252**	231	210	197	182	166	153
B4. Other flows 2/	205	175	155	135	119	109	99	91	85	77	72
B6. One-time 30 percent nominal depreciation	205	168	137	119	105	95	86	79	73	67	62
B6. Combination of B1-B5	205	234	163	211	187	171	155	144	133	122	112
C. Tailored Tests											
C1. Combined contingent liabilities	205	188	164	144	129	121	111	106	99	93	88
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	240	240	240	240	240	240	240	240	240	240	240
Debt service-to-exports ratio											
Baseline	12	11	12	10	9	8	8	8	8	8	7
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 1/	12	12	13	12	12	11	12	12	12	13	12
B. Bound Tests											
B1. Real GDP growth	12	11	12	10	9	8	8	8	8	8	7
B2. Primary balance	12	11	12	11	9	9	8	8	8	8	7
B3. Exports	12	16	21	19	17	16	15	15	15	17	15
B4. Other flows 2/	12	11	12	11	9	9	8	8	8	8	7
B6. One-time 30 percent nominal depreciation	12	11	12	10	9	8	8	8	7	7	6
B6. Combination of B1-B5	12	14	18	16	14	13	13	12	13	13	11
C. Tailored Tests											
C1. Combined contingent liabilities	12	11	12	11	10	9	9	8	8	8	7
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	21	21	21	21	21	21	21	21	21	21	21
Debt service-to-revenue ratio											
Baseline	18	18	18	17	16	15	15	15	14	14	13
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 1/	18	19	20	20	20	20	22	23	23	**24**	**24**
B. Bound Tests											
B1. Real GDP growth	18	19	20	18	18	16	17	16	16	16	14
B2. Primary balance	18	18	18	17	16	15	15	15	15	16	14
B3. Exports	18	18	18	18	17	16	16	16	17	19	17
B4. Other flows 2/	18	18	18	17	16	15	15	15	15	16	14
B6. One-time 30 percent nominal depreciation	18	**25**	**25**	**23**	22	21	21	20	20	19	17
B6. Combination of B1-B5	18	18	20	19	18	17	17	16	17	18	16
C. Tailored Tests											
C1. Combined contingent liabilities	18	18	18	17	17	16	16	15	15	15	14
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	23	23	23	23	23	23	23	23	23	23	23

Sources: Country authorities; and staff estimates and projections.

1/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
2/ Includes official and private transfers and FDI.

Table 4. Cabo Verde: Sensitivity Analysis for Key Indicators of Public Debt, 2020–30

(Percent)

	Projections										
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
PV of Debt-to-GDP Ratio											
Baseline	**107**	**104**	**97**	**90**	**85**	**80**	**75**	**71**	67	63	59
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 1/	**107**	**109**	**111**	**113**	**115**	**117**	**120**	**122**	**124**	**127**	**129**
B. Bound Tests											
B1. Real GDP growth	**107**	**109**	**110**	**106**	**102**	**99**	**95**	**93**	**90**	**87**	**85**
B2. Primary balance	**107**	**109**	**110**	**103**	**97**	**91**	**86**	**81**	**77**	**73**	69
B3. Exports	**107**	**110**	**115**	**108**	**102**	**97**	**91**	**86**	**82**	**76**	**71**
B4. Other flows 2/	**107**	**106**	**101**	**95**	**89**	**84**	**79**	**75**	**70**	66	62
B6. One-time 30 percent nominal depreciation	**107**	**132**	**123**	**115**	**108**	**102**	**96**	**91**	**86**	**81**	**77**
B6. Combination of B1-B5	**107**	**111**	**111**	**104**	**100**	**95**	**90**	**87**	**83**	**79**	**75**
C. Tailored Tests											
C1. Combined contingent liabilities	**107**	**130**	**122**	**115**	**108**	**102**	**96**	**91**	**87**	**82**	**78**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Public debt benchmark	70	70	70	70	70	70	70	70	70	70	70
PV of Debt-to-Revenue Ratio											
Baseline	401	376	329	312	297	278	262	247	233	219	207
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 1/	401	394	375	387	399	405	414	422	429	436	443
B. Bound Tests											
B1. Real GDP growth	401	394	372	363	354	341	331	322	313	304	297
B2. Primary balance	401	396	373	354	338	318	300	284	269	254	240
B3. Exports	401	401	392	373	356	335	318	302	285	266	249
B4. Other flows 2/	401	385	345	327	311	292	276	261	246	231	217
B6. One-time 30 percent nominal depreciation	401	480	419	397	378	355	335	318	301	284	269
B6. Combination of B1-B5	401	402	377	359	346	329	315	301	288	274	262
C. Tailored Tests											
C1. Combined contingent liabilities	401	473	416	396	378	355	336	319	302	286	271
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	36	39	40	41	42	43	44	41	40	37	35
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2040 1/	36	40	44	50	55	61	67	69	71	72	73
B. Bound Tests											
B1. Real GDP growth	36	41	44	47	49	52	54	53	52	51	50
B2. Primary balance	36	39	43	48	49	51	52	49	47	43	41
B3. Exports	36	39	40	43	43	45	45	42	42	42	40
B4. Other flows 2/	36	39	40	42	42	44	44	42	40	39	37
B6. One-time 30 percent nominal depreciation	36	43	47	50	51	53	55	53	52	51	49
B6. Combination of B1-B5	36	41	43	48	49	52	54	52	51	49	47
C. Tailored Tests											
C1. Combined contingent liabilities	36	39	54	56	56	58	60	57	50	47	44
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.

1/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.

2/ Includes official and private transfers and FDI.